

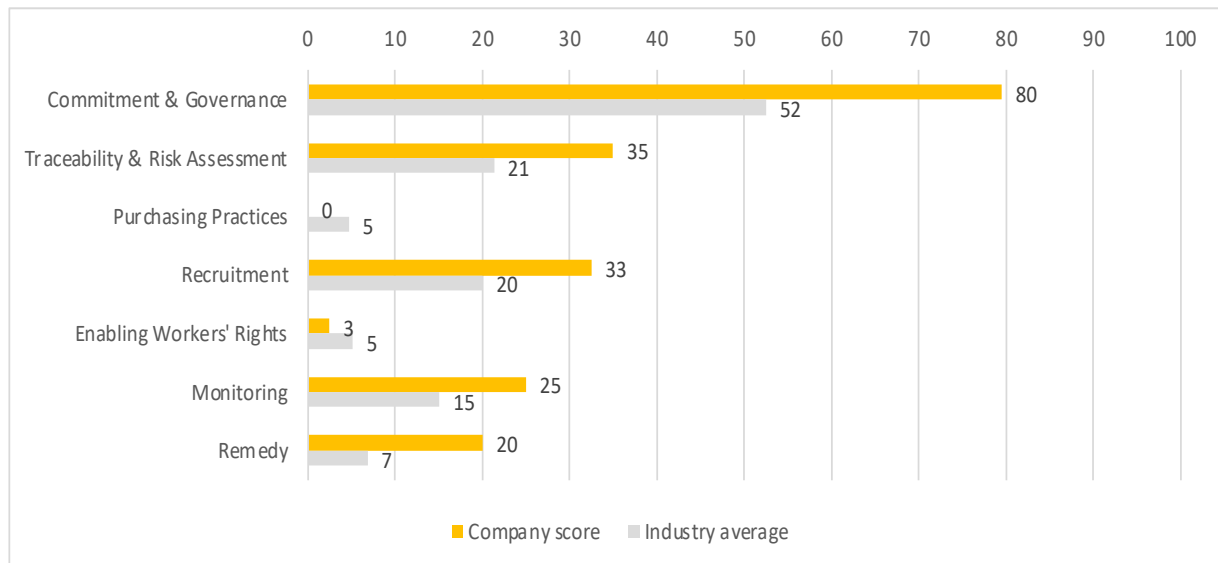
Telefonaktiebolaget LM Ericsson (publ) (Ericsson)

TICKER
ERIC.B

MARKET CAPITALISATION
US\$18.1 billion

HEADQUARTERS
Sweden

DISCLOSURES
UK Modern Slavery Act: [Yes](#)
Australia Modern
Slavery Act: [Yes](#)
California Transparency in Supply Chains Act: Not applicable

OVERALL RANKING
9 out of 45
[2022 Rank:](#) 7 out of 60¹
OVERALL SCORE
31 out of 100
THEME-LEVEL SCORES

KEY DATA POINTS
FIRST-TIER SUPPLIER LIST
 No

RISK ASSESSMENT

Yes

ENGAGED WITH KNOWTHECHAIN²

Yes

NO-FEE POLICY

Yes (Employer Pays Principle)

REMEDY FOR SUPPLY CHAIN WORKERS
 No

HIGH-RISK SOURCING COUNTRIES³
 China and Malaysia

SUMMARY

Telefonaktiebolaget LM Ericsson (publ) (Ericsson), a Swedish communications equipment company, ranks 9th out of 45 companies. Since 2022, the company improved on the themes of Traceability & Risk Assessment and Recruitment, disclosing more detail on its risk assessment process, including a dedicated process in India involving interviews with local stakeholders, as well as a process for tracing labour recruiters used by its suppliers. However, the company did not improve across other themes. The company performed particularly poorly on the themes of Purchasing Practices and Enabling Workers' Rights. As such, the company's rank dropped by 2 places. The company's score is based on its stronger performance on the theme of Commitment & Governance and above-average performance on the themes of Traceability & Risk Assessment, Recruitment, Monitoring, and Remedy. Notably, Ericsson is the second highest-scoring European company in the benchmark.

The company is encouraged to improve its performance and disclosure on the themes of Traceability & Risk Assessment, Purchasing Practices, and Enabling Workers' Rights.

LEADING PRACTICES

Risk Assessment: In addition to its general risk assessment process, Ericsson discloses conducting a dedicated risk assessment for India. It reports that its Business and Human Rights team visited the country in 2024 where, among others, it visited a supplier, hosted roundtables, and engaged in bilateral meetings with external stakeholders, including civil society organisations and a former trade union representative. It further reports that the team met with civil society organisations that work on labour rights issues in the country in relation to the electronics manufacturing value chain.

Ericsson discloses levels of modern slavery risk (high, mid, low) per each of 25 supplier category groups and provides detail on the nature or root causes of risk identified for specific product categories, as well as groups of workers particularly at risk of being affected. Further, with respect to working hours, the company identifies root causes to be seasonality, low wages, production lead time and capacity, culture choices, business practices, and political, economic and external pressures can all impact the number of hours worked, and states non-compliances related to excessive overtime are particularly common in its supply chain related to hardware manufacturing, but that the risks cut-across other categories such as logistics and site services, and that migrant workers, temporary, contract and self-employed workers and women are among those at heightened risk.

OPPORTUNITIES FOR IMPROVEMENT

Traceability & Risk Assessment: The company is encouraged to demonstrate a strong understanding of its supply chains by disclosing the names and addresses of its first-tier suppliers (either across high-risk raw materials or across all first-tier suppliers). Further, the company is encouraged to disclose the names and locations of sub-tier suppliers other than smelters and refiners of 3TG, as well as the countries from which it sources raw materials at high risk of forced labour other than the 3TG.

Purchasing Practices: To address forced labour risks in its supply chains, the company is encouraged to adopt purchasing practices that decrease the risk of forced labour, such as

improving planning and forecasting and prompt payment, and disclose quantitative data evidencing the implementation of responsible purchasing practices. The company is further encouraged to take steps to ensure that pricing includes the full cost of production, including a living wage/income, and may consider ring-fencing labour costs such that they are not impacted during pricing negotiations. The company should consider integrating [responsible buying practices in its contracts](#) with suppliers, to ensure that the responsibility for respecting human rights is shared.

Enabling Workers' Rights: To support collective worker empowerment, the company is encouraged to work with local or global trade unions to support freedom of association in its supply chains. Further, the company is encouraged to disclose examples, covering different supply chain contexts, of how it improved freedom of association and/or collective bargaining for its suppliers' workers. The company is also encouraged to disclose the percentage of suppliers' workers covered by collective bargaining agreements. To guarantee protections for supply chain workers on freedom of association and collective bargaining, the company may consider entering into a global framework agreement or enforceable supply chain labour rights agreements with trade unions or worker organisations.

¹ The number of companies assessed in the ranking has decreased from 60 in 2022 to 45 in 2025.

² Research conducted through September 2024 or through December 2024, where companies provided additional disclosure or links. For more information, see the full dataset [here](#). For information on a company's positive and negative human rights impact, see the Business & Human Rights Resource Centre [website](#).

³ For further details on high-risk raw materials and sourcing countries, see KnowTheChain's [2025 ICT benchmark findings report](#).